

ARE pitch deck

Repo note

I could not open the local court files — reads under /Users/ajay/exalted/signalos were not permitted in this session, so the deck below is built from the evidence pack and the two bench briefs as pasted, plus the after-tax arithmetic already embedded in the sensor list you handed me. Nothing here is sourced from files I didn't read.

PITCH — ARE — PROPOSED VERDICT: DO NOT BUY AT \$46. Reopen only in the low \$30s. — PROPOSED — PENDING ADJUDICATION

What we believe

Alexandria Real Estate is the largest landlord to biotech and pharma laboratory tenants. The stock has fallen about 45% from its 52-week high, which is what put it on our screen. We think that fall is mostly deserved, and that at \$46 the price already reflects a reasonable-but-not-generous view of the business.

Three things drive that:

- 1. Earnings are going to fall in the second half of this year, and management has already told everyone so.** Alexandria earned \$3.46 per share of adjusted funds from operations in the first half of 2026 and reaffirmed a full-year range of \$6.35–\$6.45 on August 3. Subtract: the second half has to come in at \$2.89–\$2.99, a 14–16% step down from the first half. So the “cheap at 7.2x earnings” argument is wrong on its own terms — measured against the rate the company will be exiting the year at (\$5.78–\$5.98 annualized), the stock trades at **7.7–8.0x**, not 7.2x.
- 2. Rents on renewal are going down, not up.** First-half 2026 releasing spreads were –7.4% on a straight-line basis and –9.6% on cash. Occupancy is 86.9%. One recently re-leased building (3000 Minuteman) went to a new tenant explicitly “at lower rental rates than initial underwriting.” The buildings still under construction — roughly \$1.2B left to spend, 71% pre-leased — will deliver into that same market.
- 3. The balance sheet is doing the work the income statement isn't.** The company is levered roughly 63% debt in the capital stack (about \$13.8B of debt and preferred against \$8.0B of equity value). On August 12 it raised \$1.0B of junior subordinated notes at a 7.250% coupon that resets but never goes below 7.250%, out to 2057 ([underwriting-agreement 8-K, filed 8/14/26](#)). That's expensive money, and it is money that does not reduce leverage.

Where that lands on value: at a 7.8% capitalization rate — which is what today's price implies — this is neither cheap nor absurd. It is priced roughly where a stressed-but-normal lab building trades. Our margin of safety only appears at an 8.5–9.0% cap rate, which is **\$32–\$36 per share**.

What the market believes

The market believes roughly what we do, which is the problem. Alexandria is in the S&P 500, covered by every major sell-side desk, and the guidance is public and reaffirmed. The stock has already rallied 17% off its \$39.42 low — **after** the second-quarter print and **through** the \$1B junior note deal. Nobody is asleep here.

The bull case a buyer at \$46 is expressing: life-science demand troughs in 2026–2027, occupancy stabilizes in the high 80s, the company sells \$2.9B of assets and other capital sources as promised, leverage lands inside 5.6x–6.2x, and the dividend holds. On that path the stock is worth \$51–\$61 (7.0–7.5% cap). To get to \$69 — a 50% gain — you need a 6.6% cap rate, which requires a genuine recovery in lab real estate, not merely competent execution.

Why we might have edge

Honestly: **we don't have much, and we should say so plainly.**

Two things we found that are not obviously in the consensus write-up:

- **The “\$2.9B disposition plan” is not \$2.9B of dispositions.** The company's own words are “\$2.9B of dispositions, sales of partial interests **and other capital sources**.” Sell-side summaries, our own screen, and our own first-pass brief all restated it as if it were asset sales. If the \$985M of net proceeds from the August junior notes counts as an “other capital source,” then roughly a third of the plan was just filled with paper that does not deleverage. A second tell: the stated *uses* (\$1.75B to construction + \$1.68B to debt reduction = \$3.43B) exceed the \$2.9B of *sources*.
- **The second-half arithmetic.** The 14–16% step-down is two numbers from the same press release, differenced. Neither of our benches did it on the first pass; we don't believe it's a secret from the market, but it does reprice the “cheap multiple” claim decisively.

Neither is a durable information advantage. This is diligence work — it tells us what to pay, not that we know something others don't.

Why it might be priced in

Almost certainly it is. Every leg of our case is company-guided or company-disclosed: the FFO range, the releasing spreads, the occupancy, the capital plan, the coupon on the new notes. A widely covered index constituent with reaffirmed guidance does not hide 26% of its earnings from the street.

That cuts against one of our own arguments. Our red bench's headline kill — that \$295M/year of capitalized construction interest is a hidden subsidy to reported earnings — cannot simultaneously be true and consistent with the same bench's finding that the stock is fully covered and fully modeled. Our blue bench caught this: both cannot be fatal.

There is also a real argument on the other side that we initially read backwards. Choosing 7.25% debt over issuing stock at \$46 looks like distress. At roughly 0.65x the value the assets would fetch at a 7.0% cap, **refusing to sell stock is the right call for existing shareholders**. That is good capital allocation, not a warning sign.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count / market cap	10-Q cover page, shares outstanding at 7/15/26	174,247,570 shares → \$8.03B at \$46.11. Our data pack's share series ended 6/30/25 and was 13 months stale	Yes — pack superseded
"Shares up 4.1M / 2.4% year over year — dilution warning tripped"	Full dei share-count series	Our red bench was wrong. 7/15/25 = 172,958,948 → 7/15/26 = 174,247,570 = +0.74% . The count on 10/15/24 (174,762,259) was <i>higher</i> than today. Red compared a cover-page count to a weighted-average diluted count — the exact apples-to-oranges error it had just accused the analyst brief of	Refuted — no dilution overhang
"\$0.42/share of new interest cost not in the guide"	Use-of-proceeds in the final 424B5, 8/14/26	Our own brief was wrong. \$72.5M is the gross coupon; the notes largely refinance existing revolver/commercial-paper borrowings, so the incremental cost is the spread, about \$25M ≈ \$0.14/share	Overstated ~3x — corrected
"The refinancing is leverage-neutral"	424B5 use of proceeds + company's own leverage definition	Company measures net debt and preferred to EBITDA; red argued proceeds go to development (raising leverage) in one finding and refinance short-term debt (neutral) in another — mutually exclusive . At most one stands; the refinancing read is better supported	Partly — red self-contradicted
"\$295M/yr of capitalized interest is a hidden 26%-of-earnings subsidy"	Tried InterestCostsCapitalized XBRL — series ends 2022 . Cross-checked against total interest incurred, 2Q26 = \$138.06M	\$73.7M/quarter is <i>plausible</i> (53% capitalized) but not sourced to a primary series — we did not open the 5.97MB supplemental. And red priced only one side: the expense arrives with the rental income from the finished building. The real drag is the ~225bp gap between ~6.5% development yield and ~4.25% blended debt cost, not the gross figure	Downgraded from fatal to a sizing input; tag is PLAUSIBLE, not confirmed
"Cost of capital now exceeds return on assets"	Red's own numbers	Self-refuting. 8.5% implied asset yield vs 7.25% coupon — the cost is <i>below</i> the return. And 7.25% is the most-	Overtuned

Claim	How checked	Found	Confirmed?
		subordinated slice, not the blended marginal cost (~4.25%). The rescue argument extrapolated one quarter's same-property decline into a perpetual rate	
"The deleveraging plan is unfunded"	8-K 7/9/26, \$5B revolver + \$3.60B liquidity + \$985M net notes	Wrong framing. The company is liquid; it is un-deleveraged . Different problem	Refuted — corrected
Can it hit 5.6–6.2x leverage?	\$1.68B debt paydown ÷ ~\$1.86B EBITDA	0.90 turns → 7.0x – 0.90 = 6.10x , inside the band . Red said "unreachable" by measuring to the midpoint. But the target fails on the <i>denominator</i> : at forward EBITDA of ~\$1.71B, \$11.32B net debt = 6.6x	Conclusion holds, arithmetic corrected
Second-half earnings	2Q26 release minus reaffirmed guide	Implied 2H = \$2.89–\$2.99, a 14–16% step down , management-guided	Yes — neither bench found it first
The dividend, after tax	Declared quarterly rate \$0.72 (declared 6/1/26) × 4 = \$2.88 forward	Neither bench ran this leg. The vendor's 7.23% yield is trailing-twelve-months and spans a declared cut; the forward yield is 6.23% . REIT distributions are largely ordinary income for us: after tax that leaves 3.32% with the 20% pass-through deduction and 2.86% without — against our 3.5% after-tax bar. The carry argument only clears at ≤ \$43.86 (with the deduction) or ≤ \$37.77 (without)	Yes — and it kills the income case at \$46 independently
Spot price	Attempted independent IBKR pull	Permission denied on both benches. We are relying on the data pack's 16:13Z stamp of \$46.11–\$46.13	Coverage gap — not independently verified

PROPOSED ENTRY BANDS

No purchase today. No resting order. No position.

The prior \$46–\$50 band is retired. It was written as a price trigger against a thesis that was really about occupancy recovering, and the price got there without the occupancy.

	Level	Why this number
Buy today	none	At \$46.11 the implied cap rate is ~7.8%, which is a fair transaction price, not a discount. The forward multiple is 7.7–8.0x on exit run-rate, not 7.2x.
First tranche	\$36.00	8.5% forward cap rate on ~\$1.71B forward EBITDA, 174.2M shares
Center of band	\$34.00	Midpoint of the 8.5–9.0% cap range; this is the alert level

	Level	Why this number
Full weight	\$32.00	9.0% forward cap. Below this we are being paid for the leverage
Income-only test (separate, must also clear)	≤\$43.86 with the pass-through deduction; ≤\$37.77 without	The after-tax dividend must beat our 3.5% bar. Note the value band (\$32–36) clears both automatically — so the binding gate is \$34 ±\$2 , and the \$43.86 figure exists only to stop anyone re-arguing this as a yield trade at \$44–46.
Trims / exits	n/a	No position to trim.

Proposed sizing if the band is reached: 1.0% of book at \$36, +0.5% at \$34, +0.5% at \$32 — maximum 2.0%. Modest because the case is diligence, not edge: we would be buying a fairly-priced crowded name at a discount, not exploiting something we know and others don't. Each tranche is contingent on the re-court test below, not automatic on price.

We deliberately do not place a resting buy order. We are the ones predicting further equity and hybrid supply from this issuer; a passive bid sitting under the market gets filled precisely on the day that supply arrives. If price reaches the band, we act deliberately, not mechanically.

The re-court test — all three, or nothing (a single asset-sale headline does *not* earn a second look):

1. Cumulative closed **cash** dispositions ≥ \$2.0B, itemized by property, at economic cap rates ≤7.5%, with the \$1B junior notes **explicitly excluded** from the \$2.9B tally; 2. Second-half 2026 FFO landing ≥ **\$3.10** (i.e. the guided cliff proves conservative); 3. Cash releasing spreads recovering to ≥ **−3%** (from −9.6%).

Catalyst dates: - **2026-08-21** — junior note settlement, confirmed in the 8-K. Cash arrives; watch what it actually pays down. - **early September 2026** — quarterly dividend declaration. A cut here removes the last support under the price. Date unconfirmed. - **2026-10-01** — revolver condition deadline. - **2026-10-26** — third-quarter earnings, the re-court test. **This date is derived from a data vendor and is NOT confirmed by any company announcement** — treat it as approximate until a press release names it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 43.86 (deck-provisional: VETO not trigger: above this the forward 6.23% dividend nets under our 3.5% after-tax bar even with th)
- filing watch: 8-K until 2027-02-13 (deck-provisional: 8/21 junior-note settlement and early-Sept dividend declaration: confirm what the \$985M net actually r)
- dated pack ARE|2026-10-26: 3Q26 is the re-court test and it is a TRIPLE — all three or nothing (blue's re-specification): (1) cumulative closed CASH dispositions ≥\$2.
- dated pack ARE|2026-08-21: ARE: Junior subordinated note settlement, \$1.0B at 7.250% due 2057 — confirmed in the 8/14/26 8-K. (date confirmed=True)

- dated pack ARE|2026-09-01: ARE: Expected quarterly dividend declaration; alert on any rate other than \$0.72. Date approximate. (date confirmed=False)
- dated pack ARE|2026-10-01: ARE: Revolver condition deadline under the \$5B unsecured facility escrowed 7/9/26. (date confirmed=True)

What remains unverified

- **The spot price.** Both benches were denied broker access. Everything here rests on a data-pack quote of \$46.11–\$46.13 stamped 16:13Z on 2026-08-17. Re-verify before acting on any level.
- **The \$73.7M/quarter capitalized interest figure.** The XBRL series for it stops in 2022. We confirmed only that total interest incurred in 2Q26 was \$138.06M, which makes \$73.7M plausible (53% capitalized). Nobody opened the 5.97MB quarterly supplement where the real number lives.
- **Forward EBITDA of ~\$1.71B is our estimate, not a disclosure.** Every cap-rate-derived price in this deck moves with it. That is why the entry level is a \$32–36 band and not a single price.
- **The October 26 earnings date.** Vendor-derived, not company-confirmed.
- **Whether the \$2.9B capital plan can be met with real asset sales.** The under-negotiation backlog is not public, so we cannot formally rule out full execution — we can only say the label permits financing proceeds to fill it.
- **Tenant credit.** Neither bench swept the top-20 tenant roster. The \$222.5M of second-quarter credit loss shows up as writedowns on *buildings*, not tenant defaults — which is not the same as tenants being fine.
- **Whether the pass-through deduction applies to us for the relevant tax year.** The gap between \$43.86 and \$37.77 is entirely that question, and it should be answered by our tax preparer, not assumed.

One process note worth recording: our red bench's detector sweep answered six checks that were not on this case's dispatch list while skipping six that were. A sweep that answers a different question list is not a completed sweep, and we should add a validator that catches it.

```
{"price_gates": [{"level": 34.0, "direction": "below", "basis": "Center of the reopened band: 8.75% forward cap on ~$1.71B EBITDA, $13.8B net debt+pdf, 174.2M shares. Replaces the retired $46-50 band."}, {"level": 36.0, "direction": "below", "basis": "First tranche, 8.5% forward cap; upper edge of the reopened band."}, {"level": 32.0, "direction": "below", "basis": "Full weight, 9.0% forward cap; below here the 63%-debt stack is being paid for."}, {"level": 43.86, "direction": "below", "basis": "VETO not trigger: above this the forward 6.23% dividend nets under our 3.5% after-tax bar even with the 20% pass-through deduction (3.32%). Without it the level is 37.77 (2.86%)."}], "event_gates": [{"forms": ["8-K"], "why": "8/21 junior-note settlement and early-Sept dividend declaration: confirm what the $985M net actually repaid and that the rate stays $0.72."}, {"forms": ["424B5", "FWP", "S-3"], "why": "Any NEW offering (the 8/10 and 8/14 filings are the same tm2622485 deal) – fresh equity or hybrid supply is the flow we predicted and would reset the leverage math."}, {"forms": ["10-Q", "8-K"], "why": "3Q26 print + supplemental: the three-part re-court test (>=$2.0B closed cash dispositions ex-hybrid, 2H26 FF0 >=$3.10, cash releasing spreads >= -3%) plus capitalized interest QoQ and the equity note on the +1.3M share change."}], "catalyst_dates": [{"date": "2026-08-21", "what": "Junior subordinated note settlement, $1.0B at 7.250% due 2057 – confirmed in the 8/14/26 8-K.", "confirmed": true}, {"date": "2026-09-01", "what": "Expected quarterly dividend declaration; alert on any rate other than $0.72. Date approximate.", "confirmed": false}, {"date": "2026-10-01", "what": "Revolver condition deadline under the $5B unsecured facility escrowed 7/9/26.", "confirmed": true}, {"date": "2026-10-26", "what": "3Q26 earnings – the re-court test. Vendor-derived date, no company PR names it.", "confirmed": false}], "immediate_entry": null}
```